

Continental Merchant Bank Ltd. — Corporate Banking Branch, Hyderabad*Internal Recovery File — Confidential***Apex Textile Mills Pvt. Ltd.***NPA and Recovery Case File — Reference No. NPA/2024/0071*

Illustrative / synthetic recovery file created for training and demonstration purposes (e.g., testing retrieval-augmented generation systems). All names, figures, and details are fictional and do not correspond to any real borrower, bank, or transaction.

1. Facility Overview

Borrower	Apex Textile Mills Pvt. Ltd., Sircilla, Rajanna Sircilla District, Telangana
Facility Type	Term Loan (weaving unit expansion) and Cash Credit facility, combined exposure
Account Nos.	TL/2019/0281 and CC/2019/0282
Total Sanctioned Exposure	₹11,80,00,000 (₹7,80,00,000 Term Loan + ₹4,00,00,000 Cash Credit)
Gross Outstanding (as of NPA date)	₹9,42,00,000
NPA Classification Date	31 October 2024 (90+ days past due on Term Loan installment)
Provisioning (as of latest quarter)	₹2,35,50,000 (25% of outstanding, per applicable norms for sub-standard assets)
Security	Equitable mortgage of factory land and building, Sircilla; hypothecation of plant and machinery, stock, and book debts; personal guarantees of three promoter-directors
Recovery Officer	Mr. Naveen Bhaskar, Deputy Manager — Stressed Assets Recovery Group

2. Borrower Profile and Background to Default

Apex Textile Mills Pvt. Ltd. operates a power-loom weaving unit in Sircilla, a traditional textile hub in Telangana. The term loan financed a weaving capacity expansion completed in 2020. The borrower experienced sustained stress beginning in 2023 due to a combination of rising yarn input costs and reduced order volumes from key institutional buyers, leading to progressive deterioration in repayment capacity through 2024.

3. Chronology of Stress and Recovery Action

Date	Event	Notes
15 Feb 2024	First missed term loan installment	Account slips to SMA-0; borrower cites yarn cost inflation
20 Apr 2024	Second consecutive missed installment	Account slips to SMA-1 (31–60 days overdue)
18 Jun 2024	Account slips to SMA-2	61–90 days overdue; borrower proposes informal moratorium, not accepted pending formal restructuring application
31 Oct 2024	Account classified as Non-Performing Asset (NPA)	90+ days overdue on term loan installment, per applicable prudential norms
15 Nov 2024	Demand notice issued under Section 13(2), SARFAESI Act, 2002	60-day notice period calling upon borrower to discharge liability of ₹9,42,00,000
20 Dec 2024	Borrower's representation received	Objected to notice; proposed a One-Time Settlement (OTS) at ₹6,80,00,000

10 Jan 2025	Bank's reply to representation	OTS proposal rejected as inadequate; bank proceeds with SARFAESI action
18 Feb 2025	Possession notice issued under Section 13(4), SARFAESI Act	Symbolic possession of mortgaged factory premises taken
25 Apr 2025	Application filed before Debts Recovery Tribunal (DRT)	Filed under Section 14, SARFAESI Act, seeking assistance for physical possession
12 Jun 2025	Revised OTS proposal received from borrower	₹7,60,00,000, payable over 6 months; currently under internal evaluation

4. Documents on Record

Document	Description	Status
Section 13(2) demand notice	Dated 15 Nov 2024	Issued and delivered; acknowledgment on file
Borrower's representation	Dated 20 Dec 2024, with first OTS proposal	On file; rejected
Bank's reply to representation	Dated 10 Jan 2025	Issued per Section 13(3-A) requirement
Section 13(4) possession notice	Dated 18 Feb 2025	Symbolic possession taken; notice published in two newspapers per rules
DRT application	Filed 25 Apr 2025 under Section 14	Pending before DRT; next hearing awaited
Asset valuation report	Updated valuation of factory land, building, and machinery	Dated 5 Mar 2025; estimated realizable value ₹8,20,00,000
Revised OTS proposal	Dated 12 Jun 2025, ₹7,60,00,000 over 6 months	Under internal evaluation by recovery committee

5. Provisioning and Exposure Summary

Item	Amount	Notes
Gross outstanding at NPA date	₹9,42,00,000	As of 31 Oct 2024
Provisioning held (latest quarter)	₹2,35,50,000	25% of outstanding, sub-standard asset category
Estimated realizable security value	₹8,20,00,000	Per valuation report dated 5 Mar 2025
Latest OTS offer on the table	₹7,60,00,000	Received 12 Jun 2025; under evaluation

6. Risk Assessment and Recovery Strategy

The estimated realizable security value (₹8,20,00,000) exceeds the latest OTS offer (₹7,60,00,000) by a meaningful margin, suggesting the bank may achieve a better recovery outcome through continued SARFAESI enforcement than through the current OTS offer, subject to time value of money and litigation risk considerations. The recovery committee is weighing the certainty and speed of the OTS route against the potentially higher but delayed and uncertain recovery through asset sale following physical possession.

7. Current Status

Symbolic possession of the mortgaged factory premises has been taken. The DRT application for assistance in obtaining physical possession is pending. A revised OTS proposal of ₹7,60,00,000 payable over 6 months is under internal evaluation by the recovery committee.

8. Next Steps

- Recovery committee to complete evaluation of the revised OTS proposal within 30 days and communicate a decision to the borrower
- Follow up on DRT application status and next hearing date
- If OTS is rejected, proceed with preparation for asset auction, including fresh valuation update if physical possession is delayed beyond 6 months from the DRT filing
- Continue tracking machinery condition at the factory premises given symbolic (not physical) possession status, to guard against value erosion

9. Internal Notes (Confidential)

Recovery Officer recommends a counter-offer in the range of ₹8,00,00,000, closer to the estimated realizable security value, before accepting or rejecting the borrower's ₹7,60,00,000 proposal outright, given the borrower has shown willingness to negotiate upward twice already (from ₹6,80,00,000 to ₹7,60,00,000). This recommendation is pending recovery committee's decision and has not been communicated to the borrower.

10. Key Contacts

Name	Role	Organization
Mr. Krishna Chaitanya	Managing Director	Apex Textile Mills Pvt. Ltd.
Mr. Naveen Bhaskar	Deputy Manager, Stressed Assets Recovery Group	Continental Merchant Bank Ltd.
M/s. Textile Valuers & Associates	Registered Valuer	Prepared valuation report dated 5 Mar 2025
Adv. Ramya Krishnamurthy	Panel Advocate, SARFAESI/DRT matters	Engaged by bank for DRT proceedings

11. Correspondence Log

Date	Correspondence	Summary
25 Jun 2024	Borrower's letter proposing informal moratorium	Not accepted; bank required formal restructuring application, which was not subsequently filed
22 Feb 2025	Public notice of possession published	Published in one English and one Telugu daily newspaper per SARFAESI Rules
15 Jul 2025	Email from panel advocate	Update on DRT matter listing status; next hearing date awaited from Tribunal registry

12. Regulatory and Internal Policy References

- Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002 — governs the demand notice, possession notice, and DRT proceedings documented in Section 3
- Reserve Bank of India Master Circular on Prudential Norms on Income Recognition, Asset Classification and Provisioning — governs the sub-standard asset classification and provisioning computation in Section 5

- Bank's Internal Recovery Policy, Section 7 (One-Time Settlement Evaluation) — governs the framework for evaluating OTS proposals against estimated realizable security value

13. Glossary of Terms Used in This File

- NPA: Non-Performing Asset, a loan account where interest or principal has remained overdue for a period exceeding the prescribed threshold (typically 90 days)
- SARFAESI Act: legislation enabling banks to enforce security interests without court intervention, subject to prescribed notice and procedural requirements
- Symbolic possession: a form of possession taken under SARFAESI where the bank asserts control over secured assets without physically dispossessing the borrower, typically pending DRT assistance for physical possession
- One-Time Settlement (OTS): a negotiated settlement in which the borrower pays an agreed amount, generally less than the full outstanding, in full and final discharge of the loan liability

End of document. Internal reference: CMB-NPA-2024-0071 (synthetic training corpus).